



Prepared for

Client proposal

50/50 Balanced

C-5050

ADVISOR

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ACCOUNT VALUE

\$1,000,000

RISK BUDGET

38 · Moderate

50/50 Balanced maps to a moderate risk budget. Estimated yield 3.5%, volatility 9.5%, beta 0.56 vs the S&P 500. U.S. equity 33% · international 14% · duration 4.1y. Core-only - no satellite overlay.

01 · HOW TO READ THE NUMBERS

Key diagnostics

RISK SCORE

38

Vol + beta blend

EST. YIELD

3.55%

Look-through income

WEIGHTED ER

0.31%

Asset-weighted fee

EST. VOLATILITY

9.5%

Stylized volatility

BETA VS S&P 500

0.56

Vs 1% S&P move

BOND DURATION

4.1y

Rate sensitivity

SHARPE (EST.)

0.26

Return per unit risk

EST. MAX DRAWDOWN

21%

Severe-path loss



02 · CORE 100.00% · AS OF AUGUST 1, 2026

Underlying holdings

Look-through positions in this policy. Core Equity and Core Fixed Income are sorted greatest to least. Account % is of the whole book after any satellite overlay.

● Core Equity

50.00%

Ticker	Holding	Model	Account	Amount
AVLV	Avantis U.S. Large Cap Value ETF	13.50%	13.50%	\$135,000
MGK	Vanguard Mega Cap Growth ETF	7.60%	7.60%	\$76,000
DFIV	Dimensional International Value ETF	4.50%	4.50%	\$45,000
QNDX	SPDR Portfolio Nasdaq-100 ETF	4.45%	4.45%	\$44,500
AVEM	Avantis Emerging Markets Equity ETF	4.25%	4.25%	\$42,500
IHDG	WisdomTree International Hedged Quality Dividend Growth Fund	3.55%	3.55%	\$35,500
VNQ	Vanguard Real Estate ETF	3.05%	3.05%	\$30,500
AVMV	Avantis U.S. Mid Cap Value ETF	2.10%	2.10%	\$21,000
AVUV	Avantis U.S. Small Cap Value ETF	2.05%	2.05%	\$20,500
IJT	iShares S&P Small-Cap 600 Growth ETF	1.95%	1.95%	\$19,500
AVDV	Avantis International Small Cap Value ETF	1.70%	1.70%	\$17,000
IWP	iShares Russell Mid-Cap Growth ETF	1.30%	1.30%	\$13,000

● Core Fixed Income

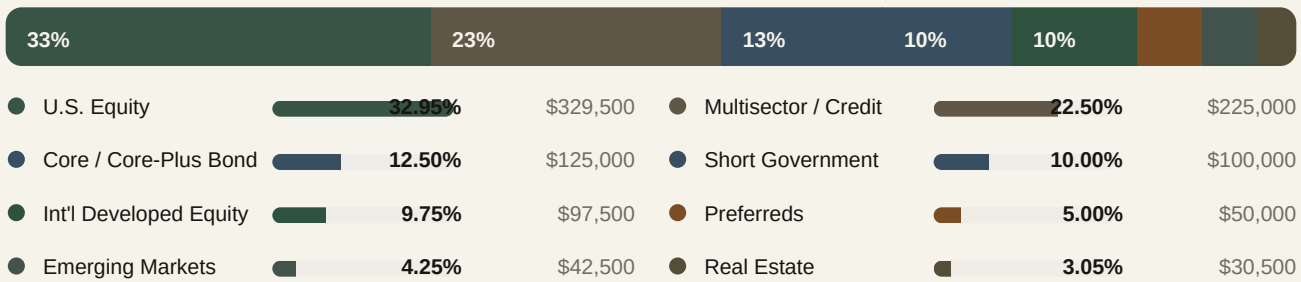
50.00%

Ticker	Holding	Model	Account	Amount
FBND	Fidelity Total Bond ETF	12.50%	12.50%	\$125,000
BINC	iShares Flexible Income Active ETF	11.25%	11.25%	\$112,500
PYLD	PIMCO Multisector Bond Active ETF	11.25%	11.25%	\$112,500
VGSH	Vanguard Short-Term Treasury ETF	10.00%	10.00%	\$100,000
FPE	First Trust Preferred Securities & Income ETF	5.00%	5.00%	\$50,000



03 · LOOK-THROUGH ROLES

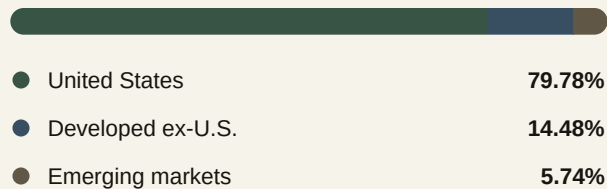
Asset allocation



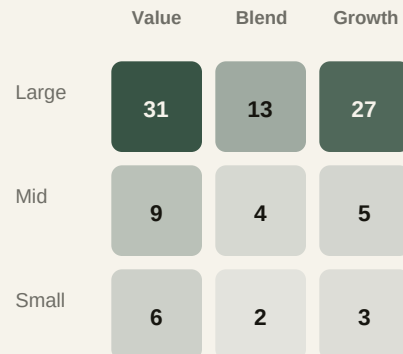
04 · 50% OF ACCOUNT IS EQUITY-LIKE

Geography and equity style

Domicile mix

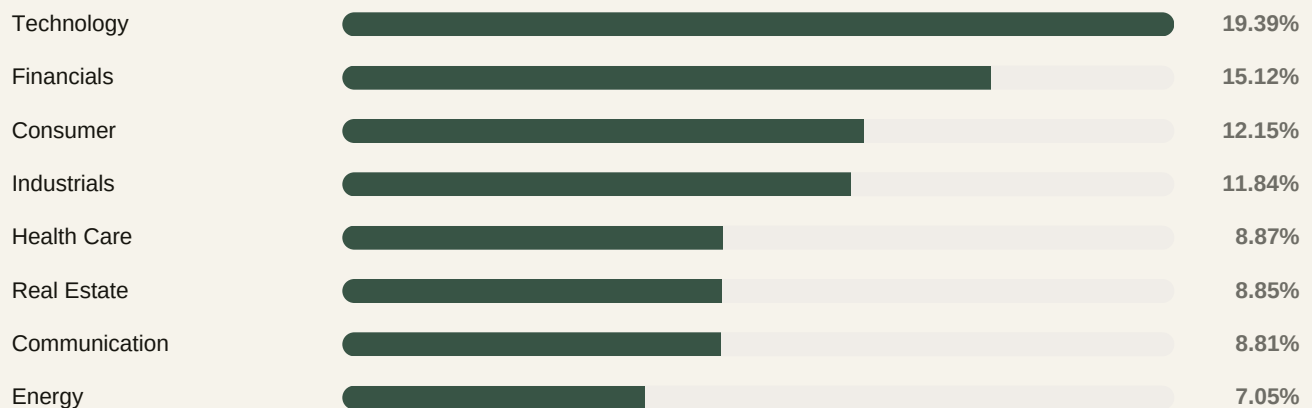


Equity style box



05 · GICS LOOK-THROUGH OF EQUITY-LIKE HOLDINGS

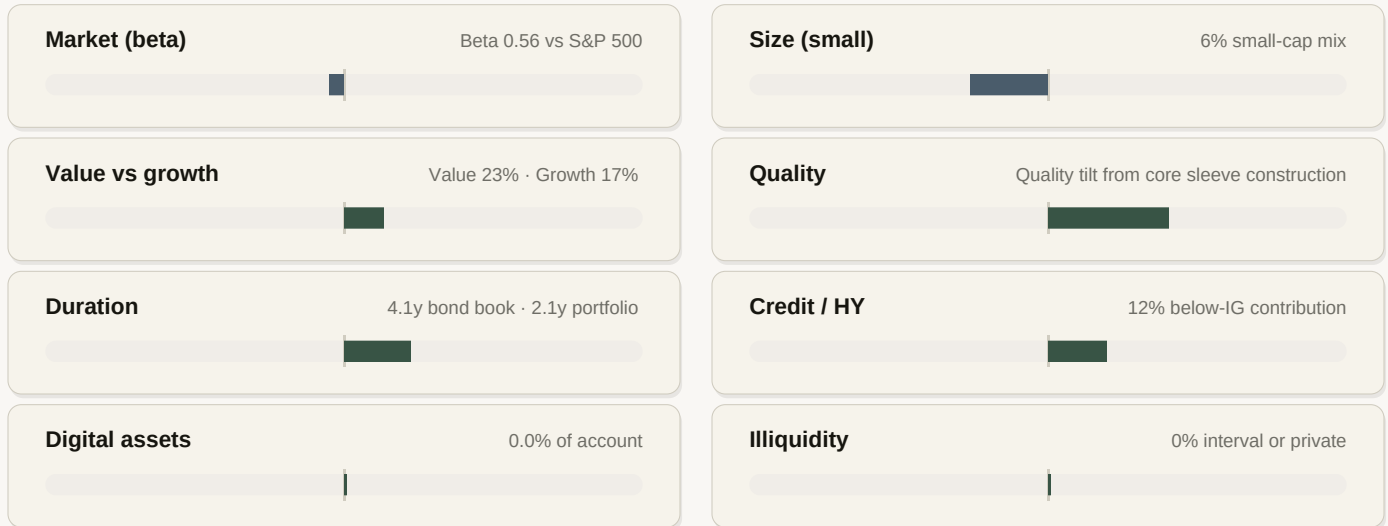
Equity sectors





06 · RELATIVE TO A PLAIN 60/40

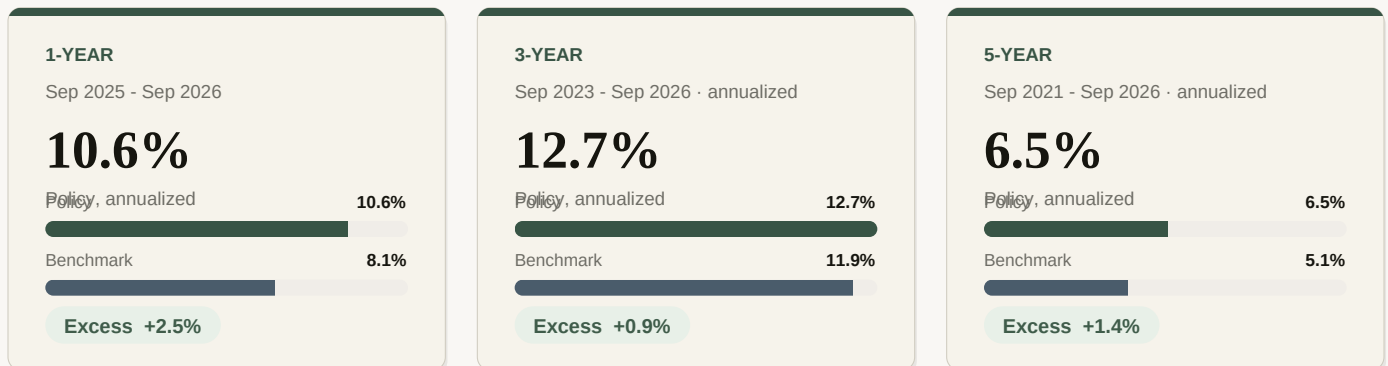
Factor and risk monitor



07 · 50/50 · 50% VT / 50% BNDW · AS OF SEPTEMBER 16, 2026

Trailing returns vs benchmark

Annualized total return over the trailing 1-, 3-, and 5-year windows. The benchmark is a constant-weight mix of Vanguard Total World Stock (VT) and Vanguard Total World Bond (BNDW) at this policy's core equity/fixed split, so a 60/40 is 60% VT / 40% BNDW. The policy line is a look-through reconstruction from sleeve roles, not live fund NAVs.



The benchmark is the same equity/fixed split as this core, implemented as VT and BNDW.

08 · ILLUSTRATIVE, NOT A FORECAST

Scenario analysis





SCENARIO ANALYSIS · CONTINUED

Inflation / hiking cycle

-14.6%

2022 · Stocks and bonds down together

Sticky inflation

-5.3%

Stylized · Duration hurt; real assets and credit mixed

Risk-on year

+11.9%

Stylized · Growth, crypto, and private equity lead

09 · REDEMPTION PROFILE AND FEE DRAG

Liquidity, income and concentration

Liquidity ladder

● Daily / T+1 ETFs

100.00%
\$1,000,000

Income and fees

Gross yield 3.55%

Expense ratio 0.31%

Net of ER 3.23%

Top holding AVLV is 13.50%. Effective holdings 11.5 (HHI 0.087).

10 · GENESIS-STYLE MONITOR

Policy flags

CLEAR

No material policy flags

Weights, liquidity, and concentration sit inside typical core-satellite bounds for this mix.

11 · WHAT THIS MIX IS BUILT TO DO

Portfolio overview

- This is a clean 50/50 balanced core with no satellite overlay. The household is buying the model as written: a moderate risk budget without extra tracking error from themes.
- The 50/50 mix is a classic balanced policy: enough equity to grow purchasing power, enough high-quality fixed income to keep a bad equity year from becoming a bad decade.
- Inside the equity sleeve, the book tilts toward profitable value - Avantis large-value (AVLV) is the flagship line - with a defined growth sleeve in mega-cap and Nasdaq so the household is not making a single-style bet.
- International and emerging-market equities are about 14% of the account. That is a second engine - the United States can lead for a long time, and this mix still refuses to make the household a single-country bet.



PORTFOLIO OVERVIEW · CONTINUED

- The fixed-income book blends short Treasuries, core-plus, and multisector credit at about 4.1 years of duration. A rise in yields will mark the bonds down roughly in line with that duration; the offset is income and a dry-powder sleeve when equities are on sale.
- Look-through yield is about 3.55% and the weighted expense ratio is 0.31%. Yield is the cash the holdings are designed to produce, not a guaranteed coupon; the ER is what you pay each year to own the implementation.
- Estimated volatility near 9.5% and a stylized max drawdown around 21% are the price of this mix. A sharp year is not a broken policy - it is the tuition for a moderate risk budget. Beta versus the S&P 500 is 0.56, so equity markets will still set the weather.
- Implementation is almost entirely daily-liquid ETFs, so rebalancing and cash raises are operationally simple. That is an underrated advantage when the household needs to act.
- AVLV is the largest line at 13.50%. Concentration is how active tilts earn their keep - it is also why we watch single-name weight in the policy flags.
- The case for this mix is time: staying invested through a full market cycle so compounding has a chance to work. It is a policy to own, not a trade to time.

12 · IN THE MANNER OF JOHN C. BOGLE

A voice from the archives

John C. Bogle

Vanguard · Indexing · costs, stay the course, own the haystack

"Own the haystack, keep the help from eating it, and stay the course. This policy does the first two well enough - a sensible mix, a published model, no satellite narrative to babysit. The miracle is not in the next clever overlay. It is in the years you did not sell. If you can leave this thing alone, it will do more for the household than a dozen brilliant trades."

A core-only balanced mix is Bogle's sermon: keep costs down and do not tinker.

*Hypothetical commentary written in the style of John C. Bogle for illustration and education. It is not a real quote, endorsement, affiliation, or recommendation by John C. Bogle or any firm associated with that name.

Model diagnostics as of the Falcon Core Model dated August 1, 2026. Figures are representative look-through characteristics, not live market data, NAV, or a performance composite. Scenario results are stylized path estimates for advisor discussion - not forecasts, stress-test guarantees, or a recommendation. For advisor use only.